

Procurement of pharmaceuticals



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Learning outcomes

- **By the end of this section trainees will be able to:**
 - Explain procurement management
 - Identify the procurement process
 - Describe good pharmaceutical procurement principles
 - Describe procurement methods
 - Identify different procurement challenges
 - Identify ethical standards of procurement

Pharmaceutical Procurement

Introduction to Pharmaceutical Procurement

- Procurement is the process of acquiring goods, works, and services through
 - Purchase
 - The actual commitment undertaken by the purchaser and the supplier only in the case of goods
 - Donation
 - Manufacturing
 - Small scale compounding

Health commodity procurement

Introduction to Pharmaceutical Procurement

- Procurement unit within the ministry of health or CMS or similar entity manages procurement for public health supplies.
- The unit purchases the appropriate quantities of quality products, which are necessary for ensuring continuous product availability.
- Health system instructs the procurement unit on what to purchase with what funding sources including quantities and the specifications of products to be purchased

Key stakeholders in the procurement process

- The procurement process involves different parties whose input helps determine how, what, and when to procure
- Procurement coordinating committee help ensure all key stakeholders are informed of each others' activities and plans

I. The program unit

- Determines what products need to be procured to support their programs

II. The National drug regulatory agency

- Ensures that the procured products are registered for use in the country
- They may be involved throughout the process or at specific milestones
 - Issues pre-import permit, and import release permit
 - Batch test samples from the eventual shipments before the country receives them for distribution.

III. Funding agencies

- Donor organizations, intergovernmental loans, or national treasury funds managed by the Ministry of Finance
- The procurement units must understand procurement regulations and align procurement cycles with funding availability

IV. The suppliers and manufacturers

- They are responsible for registering products in countries before procurement takes place
- Their past performance is standard evaluation criteria in the tender document.

Definition of basic procurement terms

- **Goods**

- Raw material, products and equipment and commodities in solid, liquid or gaseous form, marketable software and live animals
- Installation, transport, maintenance or similar obligations related to the supply of the goods if their value does not exceed that of the goods themselves

- **Service**

- Means any object of procurement other than works, goods and consultancy services: Maintenance, security, janitorial, electricity, telecommunication and water supply services

- **Works**

- Associated with the construction, reconstruction, up grading, demolition, repair or renovation of a building road, or structure

- **Consultancy Service**

- An intellectual and advisory nature provided by consultants
- This involves using their professional skills to study, design and organize specific projects, advice clients, conduct training and transfer knowledge

- **Tender**

- The documentation and initiation of a process for soliciting bids
- The specifications for the product/service desired and opening the contract to the bidding process.

- **Bid**

- A written offer for a quantity of goods, works, or services, at a stated price based on technical specifications and other terms and conditions

Definition of basic procurement terms

- **Direct procurement**

- Purchaser contracts for goods directly with a manufacturer or its representatives.

- **Indirect procurement**

- Purchaser contracts for goods through an intermediary that has or will purchase directly from a manufacturer.

- **Prequalification**

- This is a process of predetermining a specific product from a specific manufacturer meets stated requirements.

Procurement process

- Procurement planning

- Identification of the procurement method to be used
- A list of the key steps in the procurement process: advertise bid, open bid, evaluate bid, award contract, disburse payments, etc.
- A timeline with estimated dates for completing each step of the process.

- **Developing bidding documents and inviting offers**
 - Technical and financial specifications of the desired products
 - Delivery dates and required destination of the shipment(Incoterm)
 - Regulations, procedures and timing for responding to the bids
 - Selection criteria/evaluation standards that will be used to evaluate and select suppliers

- Bid evaluation and selecting supplier
 - Preliminary examination in order to confirm whether the bids received were complete as required by the bidding documents
 - Technical and financial evaluation of the bid
 - Selecting suppliers that will be able to deliver high-quality goods and affordable cost within the required time frame

- Contract award
 - Written and legally binding agreement between the purchaser and a supplier, which establishes the terms and conditions of the rights and obligations
 - Foster good relations with the suppliers
 - Establish a reputation for openness and transparency
 - Encourage unsuccessful bidders to bid in the future
 - Help prevent costly and time-consuming protests

- **Contract management**

- Contract form for the same contractual communications
 - It contains crucial legal terms and conditions
 - It makes the contract complete and fully legitimate
- A supplier provides **contract security** to compensate any damage the public body may sustain as a result of default.

Key Contract Provisions

- **Liquidate damage**

- It means the compensation stated in the contract as being payable by Contractor to the Procuring entity for failure to perform the contract within the periods under the contract
- Payable by Contractor to the Procuring entity for any specific breach identified in the contract;

Key Contract Provisions

- **Force majeure**

- It refers to events which are beyond the reasonable control of a supplier
 - Official prohibition preventing the performance of a contract
 - Natural catastrophe such as an earthquake, fire, explosion ,lightening, and floods
 - International or civil war
 - The death or a serious accident of the supplier

Key Contract Provisions

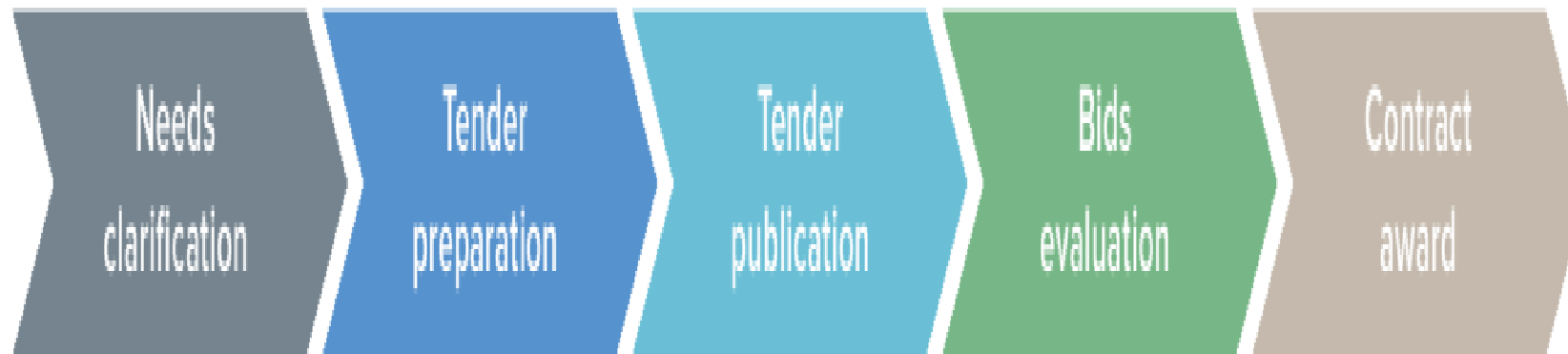
- Performance Security form
 - Performance guarantee issued from bank
 - Performance bond issued from insurance company
- Monitor contract performance
 - Ensure that the established contract is adhered
 - Ensure that supplies are received as planned
 - Ensure delivery and receipt of the goods at the required destination

Procurement process

- **Monitor contract performance**
 - Ensure that the established contract is adhered
 - Ensure that supplies are received as planned
 - Ensure delivery and receipt of the goods at the required destination

Key steps in procurement process

PROCUREMENT STEPS



Good pharmaceutical procurement principles

- Limited to EML
- Bulk purchases
- Formal supplier qualification and monitoring
- Competitive bidding process
- Commitment to a sole source
- Order quantities based on reliable estimate of actual need
- Reliable payment and good financial management
- Transparency and written procedures
- Separation of key functions
- Product quality assurance program
- Annual audit with published results
- Regular reporting on performance

Procurement methods

- Open tender
 - Formal procedure by which quotations are invited from any suppliers on a local or worldwide basis
 - The preferred procedure of procurement
 - A method other than open bidding is used only where conditions for use of such other method stipulated under this proclamation are satisfied.

Procurement methods

Open bidding

- ✓ ICB = International Competitive Biddings
- ✓ NCB=National Competitive bidding
- Threshold >50million *ETB*
- The product have many supplier (usually > seven suppliers)
- Adequate time for procurement process management

❑ Restricted tendering

- Interested suppliers must be approved in advance (prequalification process)

❖ Conditions for restricted tendering

- The required object of procurement is available only with **limited suppliers**
- The **cost** of procurement does not exceed the threshold specified

Procurement methods

- Could be both local or international
- Threshold less than 50 Million *ETB*
- Number of supplier range from 5 to 7
- Restricted procedure consists of two distinct stages
 - Election of suitable bidders
 - Evaluation of bids.

❑ Direct Procurement

- Purchaser establishes direct contact with suppliers or their representatives.

➤ Conditions for direct procurement

- In absence of competitions or provided only by one candidate
- For additional deliveries of goods by the original supplier
- Additional works which have been not included in the initial contract
- During emergency

Procurement methods

❑ Framework contract

- General agreement of procurement establishing unit price and other terms and conditions of contract
- Serves as a basis for supplies to be delivered under future specific contract
- Establishing long term zero-contract framework

➤ Benefit

- Short notices for delivery
- Goods and services which have history for falling under emergency

❑ Request for quotations/pro forma

- For the purchase of readily available goods for which there is an established market
- The estimated value of the contract does not exceed an amount stated in the procurement directive.

Procurement methods

- Can be local or international
- Threshold <200 thousand *ETB*
- Require 5 days for prepare proposal
- At least three different suppliers

Summary(Procurement method)

Method	Effect on Price	Lead Time	Work Load
Open Tender	Usually lowest prices	Moderate to long	High
Restricted Tender	Favorable	Moderate to long	High
Competitive Negotiation	Can be favorable	Short to moderate	Moderate
Direct Procurement	Usually highest prices	Short to moderate	Low

Procurement challenges

- Lack of accurate quantification and forecast data
- Lengthy procurement process
- Delays in funding allocation and release
- Low product quality assurance test
- Lack of transparency

Ethical issues in public procurement

- Conflict of interest
- Confidentiality
- Accuracy of information
- Gifts and hospitality
- Inducements

THANK YOU!!